



LUFWANYAMA TOWN COUNCIL

FINANCIAL STATEMENTS AS AT 31ST DECEMBER 2020

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UNQUALIFIED
OPINION
PAGE 7.

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REPORT OF THE COUNCIL

The Council has the pleasure of presenting the report together with the financial statements for the year ended 31st December, 2020 which disclose the sources, utilization and balances of cash for Lufwanyama Town Council during the period under review.

Background and Location of the Council

Lufwanyama District is on the Copperbelt Province of Zambia sharing borders with eight (8) other Districts namely, Kalulushi, Kitwe, Masaiti, Mpongwe, Luanshya, Kasempa, Chingola and Solwezi. The district provides a direct connection to towns in the North-Western Province including Kasempa, Kabompo, Zambezi and Chavuma through the Kalengwa-M18 road. The major source of income of the local people is mainly from small scale farming, fishing and mining.

Lufwanyama is found in the western part of the Copperbelt Province. It lies between latitudes 13°44' and 12°20' south of the Equator. Longitudinally, it lies between 26°10' East.

The administrative centre lies in the protected forest area of the Lamba Headwaters Block-A, along the Kalengwa-M18 road, 580 Kilometre (Km) from Lusaka, the capital city of Zambia, 137 Kilometre (Km) from Ndola, the Provincial Headquarter, 65 Kilometres (Km) west of Kitwe, 55 Kilometre (Km) west of Kalulushi and 2 Kilometre (Km) east of the Lufwanyama River Bridge.

Lufwanyama is the largest districts on the Copperbelt Province, covering an area of 7880 Square Kilometres (Km) of the provincial total area of 31,328 Kilometres (Km). It accounts for 31.4 percent of the provincial landmass.

The District has three (3) main rivers namely the Luswishi, Katembula and Lufwanyama rivers, which are tributaries of the Kafue river, which forms the boundary between Lufwanyama and the eastern and south-eastern district in the province. These rivers receive water from the numerous perennial streams which form an extensive network of rich water resources the district is endowed with. These include the Kabundia, Sokontwe, Luella, Kansoka, Lumwana, Mubende, Mitwe, Chapula, Kasho, Kafubu and Funda.

The address of the registered office of Lufwanyama Town Council (LTC) is as follows:

The Civic Centre

Kalengwa Road

P. O Box 260500

Lufwanyama

REPORT OF THE COUNCIL

Composition of the Council

Lufwanyama Town Council is a body corporate established under Article 152 of the Constitution of Zambia (Amendment) Act No.2 of 2016 and Section 6 of the Local Government Act No.2 of 2019. As a Local Authority, the Town Council administers the Lufwanyama District.

The Council is composed of an elected Council Chairperson, sixteen (16) elected councillors from sixteen (16) wards, and three (3) chiefs as provided for under Article 153 (2)(c) of the Constitution of Zambia (Amendment) Act No.2 of 2016. The current Council was elected to office in 2016 to serve a five-year term up to 2021. The Deputy Chairperson was elected from among the councillors in 2018 for the period of two and half years.

The councillors who held office during the year were:

S/N	NAME	GENDER	POSITION	WARD
1	Moses c. Chiyuka	Male	Council Chairperson	Not applicable
2	Zolile Zimba	Male	Deputy Council Chairperson	Mibenge
3	Robert Katongo	Male	Councillor	Chantete
4	Rodgers Simwemba	Male	Councillor	Lufwanyama
5	Fredrick Mubanga	Male	Councillor	Luswishi
6	Malupenga Chiyan'a	Male	Councillor	Mukumbo
7	Kangwa E Mwila	Male	Councillor	Chibanga
8	Marvis Chisembele	Female	Councillor	Milopa
9	Claudias Dube	Male	Councillor	Kabundia
10	Annie Kapandula	Female	Councillor	Kansoka
11	Ignitius Musonda	Male	Councillor	Mushingashi
12	Lwipa Lubele	Male	Councillor	Kafubu
13	Benson Sondashi	Male	Councillor	Mwelushi
14	Davies Sumaili	Male	Councillor	Sokontwe
15	Phanuel Musumali	Male	Councillor	Kasanta
16	Diana Katupisha	Female	Councillor	Bulaya
17	Chola Kasanda	Male	Councillor	Mpindi
18	Chieftainess yani mabenga	Female	Member	Chiefdom Shimukunani
19	Chief Brown Kaswende	Male	Member	Chiefdom Fungulwe
20	Chief Cephas Lumanto	Male	Member	Chiefdom Lumpuma

The District also has one (1) elected Member of Parliament for Lufwanyama constituency. The Members of Parliament that held office during the year were:

S/N	NAME	GENDER	CONSTITUENCY
1	Hon.Leonard Fungulwe	Male	Lufwanyama

The affairs of Central Government in the district are coordinated by the District Commissioner. During the year under review Dr Miniver Mutesa was the District Commissioner for Lufwanyama District.

REPORT OF THE COUNCIL

The Council Secretariat

The Secretariat of Lufwanyama Town Council is headed by the Council Secretary. The Council Secretary and the rest of the Secretariat are appointed by the Local Government Service Commission.

The Council Secretary is assisted by four (4) Directors responsible for Finance, Planning, Works, and Administration, and two (2) Heads of Units namely Procurement and Internal Audit.

Functions of the Council

The main function of the Council is the delivery of local public goods and services to the people in the District and discharge all or any of the functions set out in Article 147 (2) as listed in the annex part (c) of the Constitution of Zambia (Amendments) Act No.2 of 2016 and First Schedule of the Local Government Act No.2 of 2020 which include, among others, power to make By-Laws, power to make regulations, imposition of levies, fees and charges and to formulate local policies to promote, guide and regulate development in the district through various relevant departments of the Council.

Financial Results

	2020	2019
	Kwacha	Kwacha
Cash Receipts	21,461,349	13,121,319
Payments	16,021,227	16,038,836
Increase/(decrease) in Cash and Cash Equivalents	5,440,122	(2,917,517)

Key Policies Adopted During the Year

The Council did not adopt any policy during the year

Related Party Transactions

There were no related party transactions during the financial year.

Property, Plant and Equipment

The Council invested in Property, Plant and Equipment amounting to K 3,144,716

No property, plant and equipment were disposed of during the year.

Intangible Assets

There were no purchases of intangible assets during the year.

Employees

The average number of employees during the year was 90. The total amount spent on employees' remuneration and welfare during the year was K6,606,756

Health and Safety of Employees

The Council is aware of its responsibilities regarding the safety and health of employees as prescribed in the Occupational, Health and Safety Act No.36 of 2010 and took appropriate measures to safeguard their safety and health.

Recreation

The Council did not incur any cost in relation to sponsoring various sporting activities

REPORT OF THE COUNCIL

Corporate Social Responsibility

The Council made no donations during the year amounting to towards the support of various socially responsible causes.

Auditors

In line with Article 250 of the Constitution of Zambia (Amendment) Act No.2 of 2016 and Section 44(2) of the Local Government Act No.2 of 2020, the Council is audited by the Auditor-General.

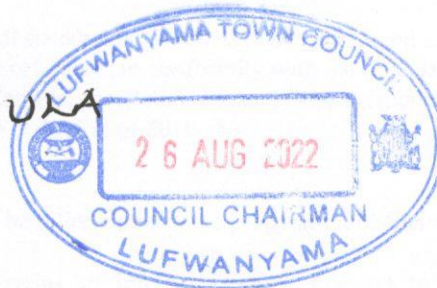
By order of the Council.

Signature: A. Kapandula

Name: ANNIE-K. KAPANDULA

Position: Council Chairperson

Date: 26/08/2022



STATEMENT OF RESPONSIBILITIES FOR ANNUAL FINANCIAL STATEMENTS

The Lufwanyama Town Council is responsible for preparing the financial statements for the year ended 31st December, 2020 which are free from material misstatement, whether due to fraud or error, and are prepared, in all material respects, in accordance with the Cash Basis International Public Sector Accounting Standard (IPSAS). In preparing the financial statements, the Council selected applicable policies from Local Authorities Accounting Policies (LAAPs) of October 2020, and then applied them consistently, making judgment and estimates that were reasonable and prudent.

The Council is also responsible for the maintenance of adequate accounting records and the preparation and integrity of the annual financial statements and related information. The Auditor General has audited the financial statements and his report is shown on pages 7 to 9.

The Council accepts responsibility for the annual financial statements, which have been prepared using appropriate accounting policies supported by reasonable estimates, in conformity with the Cash Basis IPSAS, the requirements of Cap 281 of the Laws of Zambia, the Public Finance Management Act No.1 of 2020 and Local Authorities Accounting Policies (LAAPs) of 2019.

The Council further accepts responsibility:

- for the maintenance of accounting records that may be relied upon in the preparation of financial statements,
- For designing, implementing and maintaining systems of internal controls relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

Nothing has come to the attention of the Council to indicate that the Lufwanyama Town Council will not remain a going concern for at least twelve months from the date of this statement.

In the opinion of the Council, proper books of accounts were maintained to support preparation of Financial Statements that present fairly the financial results of the Town Council for the financial year ended 31st December, 2020.

Signed on behalf of the Council on by

Name: ANWIE K. KAPANDUMA

Name: RABECCA C. BANDA

Signature: A. Kapanduma

Signature: Banda

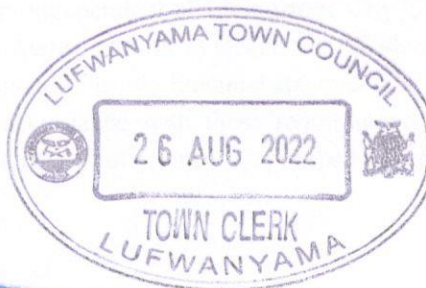
Position: Council Chairperson

Position: Council Secretary

Name: EVANS MUSHIBA

Signature: [Signature]

Position: Council Treasurer





**REPUBLIC OF ZAMBIA
OFFICE OF THE AUDITOR GENERAL**

INDEPENDENT AUDITOR'S REPORT

**STAND No. 7951
HAILE SELASSIE AVENUE
LONGACRES
P.O BOX 50071
LUSAKA, ZAMBIA**

**E-mail: auditorg@ago.gov.zm
Website: www.ago.gov.zm
Telephone: +260252611/252771**

To: The Minister – Ministry of Local Government and Rural Development

Report on the Audit of the Financial Statements of Lufwanyama Town Council

Opinion

I have audited the financial statements of the Lufwanyama Town Council for the financial year ended 31st December, 2020 which comprise the Statement of Cash Receipts and Payments, the Statement of Comparison of Budget and Actual Amounts, Statement of Cash Receipts and Payments for Local Government Equalization Fund and the Statement of Cash Receipts and Payments for Constituency Development Fund (CDF) and a summary of significant accounting policies and other explanatory information on pages 10 to 33.

In my opinion, the accompanying financial statements of Lufwanyama Town Council present fairly, in all material respects, its cash receipts and payments and balances for the year ended 31st December, 2020 in accordance with the Cash Basis International Public Sector Accounting Standard (IPSAS) and the Local Authorities Accounting Policies (LAAPs).

Basis for Opinion

I conducted my audit in accordance with International Standards of Supreme Audit Institutions (ISSAIs). My responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of my report. I am independent of Livingstone City Council in accordance with the International Organisation of Supreme Audit Institutions (INTOSAI) Code of Ethics together with the ethical requirements that are relevant to my audit of the financial statements in Zambia, and I have fulfilled my other ethical responsibilities in accordance with these requirements and the INTOSAI Code. I believe that the audit evidence I have obtained is sufficient and appropriate to provide a basis for my opinion.



**REPUBLIC OF ZAMBIA
OFFICE OF THE AUDITOR GENERAL**

Emphasis of Matter

I draw attention to Note 1.1 to the financial statements which describe the roadmap of the Council to adoption of Accrual Basis Financial Reporting Framework as result of which the Council has not produced Accrual Basis type of financial statements required by the Local Government Act, 2019.

My opinion is not qualified in respect of this matter.

Responsibilities of Management and Those Charged with Governance for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with Cash Basis International Public Sector Accounting Standard, the Local Government Act No. 2 of 2019, the Public Finance Management Act No.1 of 2018 and Local Authorities Accounting Policies (LAAPs) of 2019, and for such internal controls as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Council's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Council or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Council's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

My objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes my opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with ISSAIs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with ISSAIs, I exercise professional judgment and maintain professional skepticism throughout the audit. I also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for my opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal controls.

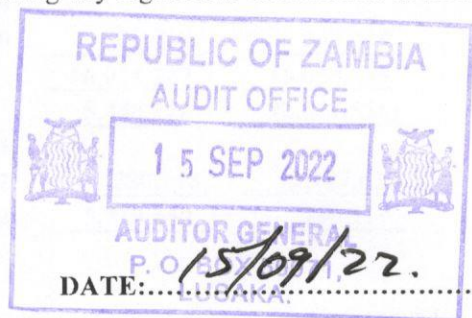


**REPUBLIC OF ZAMBIA
OFFICE OF THE AUDITOR GENERAL**

- Obtain an understanding of internal controls relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Council's internal controls.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Council's ability to continue as a going concern. If I conclude that a material uncertainty exists, I am required to draw attention in my auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify my opinion. My conclusions are based on the audit evidence obtained up to the date of my auditor's report. However, future events or conditions may cause the Council to cease to continue as a going concern.

I communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that I identify during my audit.


Dr. Dick Chellah Sichembe
AUDITOR GENERAL
OFFICE OF THE AUDITOR GENERAL



**STATEMENT OF CASH RECEIPTS AND PAYMENTS FOR THE YEAR ENDED
31ST DECEMBER 2020:**

	Note	2020 Kwacha	2019 Kwacha
RECEIPTS			
Local taxes	2	5,518,298	2,244,004
Fees and Charges	3	3,692,246	1,928,787
Licences	4	143,110	109,499
Levies	5	545,062	643,516
Permits	6	220,716	83,760
Local Government Equalisation Fund	7	9,142,835	7,317,047
Lufwanyama CDF	8	1,600,000	-
Other Grants	9	450,000	710,000
Borrowings	10	-	-
Commercial Venture	11	-	-
Other Receipts	12	149,082	84,706
TOTAL RECEIPTS		21,461,349	13,121,320
PAYMENTS			
Personal Emoluments	13	6,606,756	5,755,568
Use of goods and services	14	5,364,543	6,838,491
Financial Charges	15	-	-
Social benefits	16	-	-
Non-Financial asset acquisition	17	3,144,716	2,852,440
Financial Assets	18	-	-
Loan Repayments	19	-	-
Other payments	20	905,212	592,338
TOTAL PAYMENTS		16,021,227	16,038,836
Increase/(decrease) in Cash		5,440,122	(2,917,516)
Foreign Exchange Losses	21	-	-
Cash at beginning of the year	22	280,118	3,197,635
Cash at the end of the year	22	5,720,240	280,119

Incorporated in the payments recognised in this Statement are those for Local Government Equalisation and Constituency Development Funds. However, the details of payments under each of these Funds are presented separately in each Fund's own Statement of Cash Receipts and Payments.

Signature: *A. Kapa Jura*

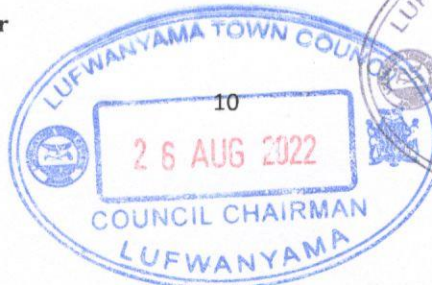
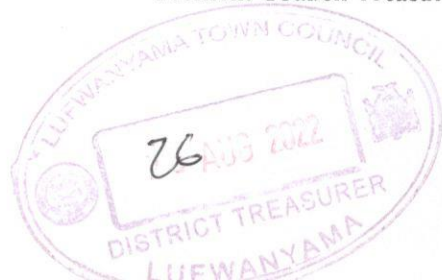
Signature: *Panda*

Position: Council Chairperson

Position: Council Secretary

Signature: *[Signature]*

Position: Council Treasurer



**STATEMENT OF COMPARISON OF BUDGET AND ACTUAL AMOUNTS FOR THE
YEAR ENDED 31ST DECEMBER 2020**

	Original Budget Kwacha	Adjustments Kwacha	Final Budget Kwacha	Actual Amounts Kwacha	% Performance	Variance Kwacha	% Variance
RECEIPTS							
Local taxes	8,101,909	1,811,878	6,290,031	5,518,298	88%	771,733	12%
Fees and Charges	5,546,341	816,073	4,730,268	3,692,246	78%	1,038,022	22%
Licences	153,400	-	153,400	143,110	93%	10,290	7%
Levies	493,307	-	493,307	545,062	110%	-51,755	-10%
Permits	230,344	-	230,344	220,716	96%	9,628	4%
Local Government							
Equalisation Fund	9,186,272	-	9,186,272	9,142,835	99%	43,437	1%
Lufwanyama CDF	1,600,000	-	1,600,000	1,600,000	100%	-	100%
Other Grants	-	-	-	450,000		-450,000	
Borrowings	-	-	-	-		-	
Commercial Venture	-	-	-	-		-	
Other Receipts	10,000	-	10,000	149,082	1490%	-139,082	-1390%
TOTAL RECEIPTS	25,321,573	2,627,951	22,693,622	21,461,349	95%	1,232,273	5%
PAYMENTS							
Personnel Emolument:	7,776,116	-	7,776,116	6,606,756	85%	1,169,360	15%
Use of goods and services	8,404,651	1,367,065	7,037,587	5,364,543	76%	1,673,044	24%
Financial Charges	-	-	-	-		-	
Social benefits	-	-	-	-		-	
Non-financial assets	7,888,805	1,215,886	6,672,919	3,144,716	47%	3,528,203	53%
Financial Assets	-	-	-	-		-	
Loan Repayments	-	-	-	-		-	
Other payments	1,252,000	45,000	1,207,000	905,212	75%	301,788	25%
TOTAL PAYMENTS	25,321,572	2,627,951	22,693,622	16,021,227	71%	6,672,395	29%
Increase/(Decrease in Cash	1	-	1	5,440,122	-		

The composition of budget adjustments and explanations of major variances are provided in note 23

**STATEMENT OF CASH RECEIPTS AND PAYMENTS FOR THE LOCAL GOVERNMENT
EQUALISATION FUND (LGEF) FOR THE YEAR ENDED 31ST DECEMBER 2020**

		2020	2019
		Kwacha	Kwacha
RECEIPTS	Note		
Funding	7(a)	9,142,835	7,317,047
TOTAL RECEIPTS		9,142,835	7,317,047
PAYMENTS			
Operational Expenditure Payments:			
Salaries and Wages	7(b)	6,412,143	5,594,513
Terminal Benefits		-	-
Utility bills		-	-
Service Provision		312,315	43,747
Goods and Services		-	215,378
Administrative Costs		387,655	-
Other Costs			
Sub-Total		7,112,113	5,853,638
Capital Expenditure Payments:			
Infrastructure Development	7(c)	1,082,396	1,257,623
Rehabilitation Works		-	182,818
Asset Acquisition			
Other Costs			311,150
Sub-Total		1,082,396	1,751,590
TOTAL PAYMENTS		8,194,509	7,605,228
Increase/(decrease) in cash		948,326	- 288,181
Cash at the beginning of the year	-	4,287	283,894
Cash at the end of the year		944,039	- 4,287

**STATEMENT OF CASH RECEIPTS AND PAYMENTS FOR THE CONSTITUENCY
DEVELOPMENT FUND (CDF) FOR THE YEAR ENDED 31ST DECEMBER ,2020**

		2020 Kwacha	2019 Kwacha
RECEIPTS			
Funding	8(a)	1,600,000	-
Other sources	8(b)	<u>7,866</u>	<u>-</u>
TOTAL RECEIPTS		<u>1,607,866</u>	<u>-</u>
 PAYMENTS			
Infrastructure Development	8(c)	104,602	1,332,268
Rehabilitation Works	8(d)	58,910	-
Asset Acquisition	8(e)	-	-
Administrative Costs	8(f)	<u>12,053</u>	<u>166,027</u>
TOTAL PAYMENTS		<u>175,565</u>	<u>1,498,295</u>
Increase/(decrease) in Cash		1,432,301	-1,498,295
Cash at beginning of the year	22	<u>175,315</u>	<u>1,673,610</u>
Cash at the end of the year	22	<u>1,607,616</u>	<u>175,315</u>

Note 8 explains the composition and other details relating to the various elements included in this Statement

SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

1. Basis of the Preparation of the Financial Statements

The Financial Statements have been prepared in accordance with Cash Basis IPSAS, *Financial Reporting under the Cash Basis of Accounting*, issued by the International Public Sector Accounting Standards Board (IPSASB) and Local Authorities Accounting Policies (LAAPs).

These financial statements have been prepared in accordance with the historical cost convention as the basis of measurement, unless specified otherwise.

The accounting policies have been applied consistently throughout the period.

1.1 Migration to Accrual Basis Financial Reporting

Lufwanyama Town Council is required, under the Local Government Act No. 2 of 2019 to produce a Statement of Comprehensive Income and a Statement of Financial Position. The production of these statements entails adoption and application of Accrual Basis of Accounting in financial reporting. However, the Act does not specify which particular accrual basis of accounting to use. In applying Cash Basis of Accounting, the Council followed guidance listed below:

- (a) Cash Basis IPSAS, *Financial Reporting under the Cash Basis of Accounting*.
This standard provides that public sector entities adopting Accrual Basis for the first time may apply Cash Basis IPSAS provisions as an intermediate step to assist them in the transition to Accrual Basis IPSASs. In this vein, the Council has produced these financial statements under Cash Basis IPSAS as part of its transition to Accrual Basis of Accounting.
- (b) Accounting Pronouncement: 2018/3 – Applicability of International Public Sector Accounting Standards (IPSASs).
This pronouncement issued by the Zambia Institute of Chartered Accountants (ZICA) pursuant to the Accountants Act, 2008 requires the adoption of Accrual Basis of Accounting by public entities by 31st December, 2022. The Council is preparing to adopt Accrual Basis IPSASs on 1st January, 2022
- (c) Treasury and Financial Management Circular No.10 of 2020 issued by the Secretary to the Treasury pursuant to the Public Financial Management Act, No. 1 of 2018. The Treasury and Financial Management Circular provides as follows:
 - i. That in order to have a standard financial reporting framework, all Local Authorities should adopt the International Public Sector Accounting Standards (IPSASs) Cash Basis of Accounting as a first step in migration to IPSASs Accrual Basis of Accounting.

SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

- ii. Local Authorities shall use Part 2 of Cash Basis IPSAS which requires extra disclosures called 'Encouraged Additional Disclosures' in Cash Basis financial statements for the years ending 31st December 2020 up to 2021.
- iii. All Local Authorities shall adopt and apply Accrual Basis IPSAS of Accounting starting 1st January, 2022 by following the guidelines provided in IPSAS 33 – "First Time Adoption of Accrual Basis IPSAS".
- iv. That the three (3) year transition period provided under IPSAS 33 should commence on 1st January, 2022 and should end on 31st December, 2024. Thereafter, all Local Authorities shall be required to comply fully with Accrual Basis IPSASs.

Based on these guidelines, the Council has not yet commenced production of Accrual Basis financial statements required by the Local Government Act, 2020. However, the Council has adopted Part 2 Cash Basis IPSAS, *Financial Reporting under the Cash Basis of Accounting* to help it transition its financial reporting to Accrual Basis IPSASs.

1.2 Reporting Entity

The Financial Statements are prepared for Lufwanyama Town Council (LTC). The financial statements encompass the Council as specified in the Constitution of Zambia (Amendment) Act No. 2 of 2016, the Local Government Act No.2 of 2020, and the Public Finance Management Act No.1 of 2018. It also includes projects and activities of the Constituency Development Fund and the Local Government Equalisation Fund in the district.

1.3 Authorisation Date

The financial statements were authorized for issue on by the ordinary/special Council

1.4 Revenue

Revenue is recognised when cash is received. It is generated from various sources as explained below:

a. Local Taxes

Article 161 of the Constitution of Zambia (Amendment) Act, 2016 authorizes Lufwanyama Town Council as a Local Authority to levy, impose, recover and retain local taxes. Further, the Local Government Act, 1991 Cap 281 section 69(1) prescribes a system of local taxes by empowering Local Authorities to make by-laws imposing all or any of the following levies:

- a levy on leviable persons owning or occupying property or premises situated within the area of the council.
- A levy on leviable persons carrying on a business, trade or occupation within the area of the council.
- A levy on the purchase or sale of a commodity within the area of the District. This includes levies on sale of livestock, grain and poles.

SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

b. Fees or Charges

Section 70 (1) of the Local Government Act, 1991 as amended by Act 19 of 1992 empowers Local Authorities to impose fees or charges payable to the Council:

- For any licence or permit issued under any by-law or regulation made under the Act. These may include health permits, fire certificate licences, burial permits and extension of business hours permits.
- For any service or facility provided or goods or documents supplied by the Council in pursuance of or in connection with the discharge of any function of the Council. These may include survey fees, consent fees, building inspection fees, waste collection fees and parking fees.

1.5 Expenditure

Expenditure is recognized when payment is made for expenses incurred. The Council incurs expenditure relating to the discharge of its functions which includes expenses relating to personal emoluments, use of goods and services, social benefits and acquisition of non-financial assets.

Items of a capital nature are expensed at the time of payment and such transactions are depicted in the appropriate class and heading in the financial statements. Since capital expenditure is expensed when incurred, neither depreciation nor amortization is charged on non-current assets.

1.6 Reporting on Gross Basis

Transactions are reported on gross basis without netting off similar classes of receipts and payments. However, transactions may be reported on net basis when they relate to transactions the Council administers on behalf of other entities recognised in the Financial Statements

1.7 Cash at the Beginning and End of the Year

Cash at the beginning and end of the year consist of cash on hand, demand deposits and cash equivalents held at such dates.

Cash on hand refers to notes and coins held by the Council at the reporting date and it includes petty cash and cash collections not yet deposited into bank accounts. Demand deposits consist of reconciled balances held in the Council's bank accounts which it can use on demand. Cash equivalents, on the other hand, refer to short term high liquid investments that can easily be converted to known amounts of cash and are subject to insignificant risk of change in values.

The Council recognises all short-term high liquid investments having maturities of three months or less as cash equivalents.

1.8 Local Government Equalization Fund

Article 163(2) of the Constitution of Zambia (Amendment) Act No. 2 of 2016 provides that Parliament shall annually appropriate monies to the Local Government Equalisation Fund which shall be disbursed by the Ministry responsible for finance to Local Authorities.

Receipts under I.GEF supplement revenue generated by the Council. The Council uses at least 20% of the funds received from the equalization fund, in any financial year, to finance capital expenditure and the balance to meet operational expenses.

SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

1.9 Constituency Development Fund

The Constituency Development Fund (CDF) was established under Article 162(1) of the Constitution of Zambia (Amendment) Act No. 2 of 2016. The fund was set up to finance micro-community projects for poverty reduction in communities and it is financed by monies appropriated by Parliament.

The administration of CDF is guided by Guidelines on the Management and Utilisation of Constituency Development Fund of 2016. The Council maintains separate bank accounts for each constituency. Transfers are made from CDF into constituency bank accounts from which payments are made to finance approved CDF projects.

1.10 Other Grants

These include grants in lieu of rates and support from Cooperating Partners. Grants in lieu of rates are paid by the Government to the Council to cover property rates of Government properties in the district. Support from Cooperating Partners may consist of cash receipts under bilateral and multilateral agreements.

1.11 Presentation Currency

The presentation currency is Zambian Kwacha.

1.12 Foreign Currencies

Transactions in other currencies are converted into Zambian Kwacha using the ruling Bank exchange rates at the time of payment. Balances expressed in foreign currencies at the year-end are translated into Kwacha at the ruling rate then. The resulting difference from the conversion and translation are charged to the Statement of Cash Receipts and Payments.

1.13 Borrowings

Borrowings comprise actual cash inflows received from financial institutions, bilateral and multilateral institutions. The Council did not borrow during the period under review.

1.14 Budgets and Actual Amounts

A final budget includes all adjustments (supplementary and re-allocations) made to the original approved budget during the year. Supplementary budgets consist of additional provisions beyond what was originally approved while re-allocations are approved budget variations.

The approved budget is developed on the same accounting and classification basis, and for the same period as for the financial statements. All material differences between final budgets and actual amounts are explained in the notes to the annual financial statements. Budget differences of 20% and above are considered material.

SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

1.15 Encouraged Disclosures of Accrual Type of Items

During the year, the Council adopted Part 2 of Cash Basis IPSAS which provides extra Accrual Basis type of disclosures called Encouraged Additional Disclosures as follows:

(i) Property, Plant and Equipment

These are assets that have useful economic lives or service potential of more than one year. They are recorded and disclosed at either cost or valuation. Valuations are conducted by the Government Valuation Department and the Council's own Valuation staff. Where valuation has been undertaken, the applicable bases are as follows:

- | | |
|-----------------------|----------------------|
| • Land | Current Value |
| • Buildings | Cost or Market Value |
| • Plant and Equipment | Cost |

(ii) Investments in Other Entities

The Council disclosed the following details about its investments in other entities:

- Name of the entity
- Principal activity of the entity
- Percentage of shareholding in the entity
- Receipts in form of dividends and other returns on the investments

(iii) Administered Transactions

Administered transactions are cash flows resulting from transactions administered by the Council as an agent of Central Government and may of its agencies. All cash collected in this manner is deposited into an account of the Central Government or its appropriate agent and such accounts are not controlled by the Council. The Council deems as part of cash under its control any collections made and administered by the Council on behalf of the Central Government but are allowed to be deposited in any of its bank accounts prior to its transfer to the Central Government or any of its agents.

(iv) Related Party Transactions

A related party is one that has the ability to control the Council or exercise significant influence over the Council in making financial and operating decisions. The related party entity that is subject to common with the Council.

Related parties include:

- Entities that directly, or indirectly through one or more intermediaries, control, or are controlled by the Council.
- Association being entities over which the Council has significant influence.
- Individuals that have significant influence over the Council, and close members of the family of any such individual;
- Key management personnel, and close member of the family of key management personnel; and
- Entities in which a substantial ownership interest is held, directly or indirectly, by any person described in (c) or (d), or over which such person is able to exercise significant influence.

SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

The key management personnel of the Council are;

- (a) The Council Chairperson, elected Councilors, Co-opted members of the Audit and Procurement Committees, Chiefs who are part of the Council representing other Chiefs in the District, and
- (b) The Principal Officers and Chief Officers.
- (c) Spouses, children and grandchildren, grandparents, brothers, sisters, parents in law, brothers in law, and sisters in law of key management personnel are related parties to the Local Authority.

The Council discloses the nature of the related party relationship as well as information about those transactions and outstanding balances as a note to the financial statements. Such transactions may include remuneration, loans and contracts awarded to key management personnel and their close relatives.

(v) External Assistance

External assistance comprises loans and grants from multilateral and bilateral agencies provided under agreements specifying the purpose for which assistance will be utilized. Lufwanyama Town Council disclose total external assistance received in cash during the period, total external assistance paid by the agencies from the benefit of the Council, external assistance received in form of loans and grants, their classifications, purposes for which it was received and undrawn balances.

(vi) Payments to Third Parties

Third party payments also known as direct payments are those that are made by third parties to construct or acquire property, plant and equipment and or pay for services on behalf of Lufwanyama Town Council. These do not constitute cash receipts and payments by the Council. They include payments for goods and services made by multilateral and bilateral aid agencies and non-governmental organizations and are included in the disclosures of external assistance.

NOTES TO THE FINANCIAL STATEMENTS

2. Local Taxes

During the year, the Council generated local tax cash receipts as follows:

Local Tax Type	2020	2019
	Kwacha	Kwacha
Residential	5,513	187
Industrial/Commercial	25,413	9,548
Mining/Plant	5,422,904	2,196,515
Personal levy	64,468	37,755
TOTAL	<u>5,518,298</u>	<u>2,244,004</u>

The Council relied on the Valuation Roll updated for the period 2016 – 2021 to determine the property rates receivable.

3. Fees and Charges

The local authority generated cash receipts in form of fees and charges arising from offering various services as follows.

	2020	2019
	Kwacha	Kwacha
Fees and Charges	1,240,081	1,125,689
Land Development Charges	2,452,165	803,098
Total	<u>3,692,246</u>	<u>1,928,787</u>

NOTES TO THE FINANCIAL STATEMENTS

a. Fees and charges

The Council generated the following fees:

Fees and Charges Type	2020	2019
	Kwacha	Kwacha
Survey fees	83,978	-
Rentals/lease of Council's properties	16,200	-
Application forms fees	479,711	-
Rentals from houses	120,294	102,315
Sketch plan	-	-
Search fees	-	-
Hire of halls	2,100	-
Hire of grounds/stadia	-	-
Hoarding fees (Barricading)	-	-
Refuse	750	-
Farm produce levy	183,361	492,150
Flower vendor levy	-	-
Car dealer levy	-	-
Communication mast levy	135,000	101,200
Illegal Parking of vehicles	-	-
Billboards and banners	-	9,000
Penalties	-	-
Other fees and charges	218,687	421,024
	<u>1,240,081</u>	<u>1,125,689</u>

b. Land Development Charges

The Council collected the following land development related charges

Charges Type	2020	2019
	Kwacha	Kwacha
Premium Plot- Residential	1,000,000	243,693
Premium Plot – Commercial	325,000	33,000
Other charges	1,127,165	526,405
TOTAL	<u>2,452,165</u>	<u>803,098</u>

NOTES TO THE FINANCIAL STATEMENTS

4. Licences

A total of **K143,110** cash receipts was raised from issuance of various licences.

Licence Type	2020	2019
	Kwacha	Kwacha
Manufacturers Licence	-	-
Stall licence	-	-
Liquor licence	310	-
Firearm and ammunition licence	-	-
Petroleum licence	142,300	109,499
Restaurant licence	-	-
Dog licence	500	-
Other Licences	-	-
	-	-
TOTAL	<u>143,110</u>	<u>109,499</u>

5. Levies

The Council generated a total of **K545,062** cash receipts by charging levies as follows:

Type of Levy	2020	2019
	Kwacha	Kwacha
Livestock levy	28,749	29,959
Birds levy	-	-
Fish levy	11,377	3,213
Pole levy	-	-
Charcoal levy	197,751	240,033
Sand levy	-	-
Grave reservation levy	-	-
Timber Levy	298,525	289,800
Other levies	8,660	80,511
TOTAL	<u>545,062</u>	<u>643,516</u>

NOTES TO THE FINANCIAL STATEMENTS

6. Permits

The Council generated a total of **K220,716** cash receipts from issuing various permits as follows:

Type of Permit	2020	2019
	Kwacha	Kwacha
Health permits	46,565	12,930
Permit for Opaque beer	-	-
Fire certificate	118,690	64,000
Business permits	55,461	3,830
Public permits (social gatherings, etc.)	-	-
Other permits	-	3,000
TOTAL	<u>220,716</u>	<u>83,760</u>

7. Local Government Equalisation Fund

a Funding

	2020	2019
	Kwacha	Kwacha
1st Funding	765,522.63	704,852.41
2nd Funding	765,522.63	744,852.41
3rd Funding	741,304.12	705,456.70
4th Funding	765,522.63	763,141.74
5th Funding	765,522.63	704,852.41
6th Funding	765,522.63	704,852.41
7th Funding	746,304.12	704,852.41
8th Funding	765,522.63	765,522.63
9th Funding	765,522.63	765,522.63
10th Funding	765,522.63	753,141.74
11th Funding	765,522.62	-
12th Funding	765,522.62	-
TOTAL	<u>9,142,835</u>	<u>7,317,047</u>

NOTES TO THE FINANCIAL STATEMENTS

b. Operational Expenditure

The Council applied amounts totaling K7,112,113 of LGEF receipts towards meeting operational expenses on Salaries and Wages and goods and services representing 77.8% of the total LGEF funding for the reporting period. These expenses are included in the amounts disclosed in notes accompanying the Statement of Cash Receipts and Payments on notes 7b.

b (i) Salaries and Wages

Grade	2020	2019
	Kwacha	Kwacha
Salaries Div. I	1,979,465	1,842,878
Salaries Div II	1,330,192	1,297,430
Salaries Div III	1,348,298	1,042,998
Wages - Division IV	1,754,187	1,411,207
TOTAL	<u>6,412,143</u>	<u>5,594,513</u>

b (ii) Service Provision

	2020	2019
	Kwacha	Kwacha
Boreholes, Pumps & Reticulation		8,000
Land Demarcation	-	35,747
TOTAL	<u>-</u>	<u>43,747</u>

b (iii) Goods and Services

DETAILS	2020	2019
	Kwacha	Kwacha
Office Materials	-	119,633
Internet Charges	-	13,700
Data Processing	-	28,245
Servicing (Other Consumables)	-	53,801
Land Demarcation and Survey	312,315	-
TOTAL	<u>312,315</u>	<u>215,379</u>

b (iv) Administrative Expenses

DETAIL	2020	2019
	Kwacha	Kwacha
Meal Allowances	13,560	-
Allowances	349,000	-
Bank charges	25,095	-
TOTAL	<u>387,655</u>	<u>-</u>

NOTES TO THE FINANCIAL STATEMENTS

c. Capital Expenditure

The Council applied amounts totalling K1,082,396 of LGEF receipts towards meeting capital expenditure representing 12% of the total LGEF funding for the reporting period. This expenditure is included in the amounts disclosed in notes accompanying the Statement of Cash Receipts and Payments note 7c

c (i) Infrastructure

DETAIL	2020	2019
	Kwacha	Kwacha
Cycle Mtce-Regravelling	-	136,608
Bridges and Culverts	103,989	88,243
Buildings	765,869	1,032,772
Schools	10,140	
Market Facilities	202,398	
TOTAL	<u>1,082,396</u>	<u>1,257,623</u>

c (ii) Rehabilitation

DETAIL	2020	2019
	Kwacha	Kwacha
Building Mtce	-	182,818
TOTAL	<u>-</u>	<u>182,818</u>

c (iii) Other Costs

DETAILS	2020	2019
	Kwacha	Kwacha
Office Materials	-	39,914
Petrol, Oil & Lubricants		171,887
Hand tools		6,402
Land Demarcation		29,435
Bush Clearing		40,375
Other Costs		23,137
TOTAL	<u>-</u>	<u>311,150</u>

NOTES TO THE FINANCIAL STATEMENTS

8. Constituency Development Fund

The various elements constituting Statement of Cash Receipts and Payments for CDF are analyzed as follows:

(a) CDF Funding

	2020	2019
Constituency	Kwacha	Kwacha
Lufwanyama	1,600,000	-
		-
Total Funding	<u>1,600,000</u>	<u>-</u>

(b) Other CDF sources of funding

	2020	2019
Constituency	Kwacha	Kwacha
Interest Earned	7,866	-
		-
Total Funding	<u>7,866</u>	<u>-</u>

(c) CDF Infrastructure Development

	2020	2019
	Kwacha	Kwacha
Cycle maintenance-Regravelling ,Resealing and General Debit	0	42,170
Schools	42,630	629,396
Buildings	47,929	4,044
Hospitals, Clinics and Health Centres	14,043	656,658
	<u>104,602</u>	<u>1,332,268</u>

Infrastructure development works included construction of Classroom blocks and other buildings at health centres.

(d) CDF Rehabilitation Works

	2020	2019
	Kwacha	Kwacha
Building Mtce	58,910	-
	-	-
Total Rehabilitation Costs	<u>58,910</u>	<u>-</u>

(e) CDF Asset acquisition

No assets were acquired from CDF funds during the year under review.

NOTES TO THE FINANCIAL STATEMENTS

(f) CDF administrative costs

	2020	2019
	Kwacha	Kwacha
Petrol, Oil and Lubricants	4,318	109,391
Other Costs	-	13,570
Meal Allowance	1,200	680
Other Costs	1,600	600.00
Bank Charges	2,535	3,166
Other Services	-	-
Allowances	2,400	38,620
Imprest	-	-
Total Administrative Costs	12,053	166,027

9. Other grants

During the year, the Council received the following grants:

Revenue Source	2020	2019
	Kwacha	Kwacha
Grants from other sources	-	-
Grant in lieu of rates	450,000	710,000
Other grants	-	-
TOTAL	450,000	710,000

10. Borrowings

During the year the Council did not contract any loan.

11. Council Commercial Venture

The Council had no commercial venture.

12. Other Receipts

The Council received amounts totaling K149,082 in its various bank accounts that could not be traced to the sources. Therefore, the amounts in question could not be recognized under any particular class of receipts in the financial statements except as 'other receipts'

	2020	2019
	Kwacha	Kwacha
Interest on Fixed Deposits	149,082	83,901
Donations	-	0
Profit from council ventures	0	805
	149,082	84,706

NOTES TO THE FINANCIAL STATEMENTS

13. Personal Emoluments

Personal Emoluments consist of actual amounts of salaries and wages paid to staff of the Town Council. The Council had categories of staff that were paid as follows

Grade	2020	2019
	Kwacha	Kwacha
Salaries Div. I	2,057,085	1,894,377
Salaries Div II	1,335,878	1,337,430
Salaries Div III	1,393,869	1,069,498
Wages - Division IV	1,819,924	1,433,927
Medical costs	-	20,335
TOTAL	<u>6,606,756</u>	<u>5,755,568</u>

14. Use of Goods and Service

General expenditure consists of expenditure incurred on administrative activities

Goods and Services	2020	2019
	Kwacha	Kwacha
Expenditure Type		
Office Costs	428,452	368,844
Buildings, Repair and Maintenance Costs	247,031	202,368
Plant, Machinery and Vehicle Running Costs	915,056	1,145,162
Other Administrative Cost	1,051,942	1,735,169
Requisites	191,206	109,815
Services	1,665,454	2,305,705
Travel Expenses	769,713	874,523
Training	84,619	96,905
Medical Charges	11,070	-
TOTAL	<u>5,364,543</u>	<u>6,838,491</u>

15. Financial Charges

The Council paid nothing in financial charges.

16. Social Benefits

Social benefits were not incurred during the year.

NOTES TO THE FINANCIAL STATEMENTS

17. Non-financial Asset Acquisition

Acquisition of assets involved the following payments:

	2020	2019
	Kwacha	Kwacha
Schools	54,485	659,373
Buildings	820,537	1,053,449
Hospitals, Clinics and Health Centres	14,043	656,658
Grader	2,204,541	-
Computers, Peripherals, Equipment	33,610	16,020
Motor Vehicles <= 3500kg	-	466,939
Other Office Equipment	17,500	-
TOTAL	<u>3,144,716</u>	<u>2,852,440</u>

18. Financial Asset

There were no Acquisition of financial assets during the years under review.

19. Loan Repayments

There were no loan repayments because Council had no loan obligation

20. Other Payments

These relate to sundry items such as Staff creditors and Trade Creditors.

	2020	2019
Details	Kwacha	Kwacha
ZULAWU	0	0
ZCTU	0	0
Others	16,064	0
Suppliers of goods and services	0	130,441
Zambia Revenue Authority	0	0
National Pension Scheme Authority	146,721	0
Local Authorities Superannuation Fund	57,639	0
ZULUWU	0	0
Terminal Benefits	645,070	404,271
Long Service Bonus	17,616	17,476
Leave Travel Benefits	<u>22,102</u>	<u>40,150</u>
	<u>905,212</u>	<u>592,338</u>

21. Foreign Exchange Losses

The Council did not incur any foreign exchange losses

NOTES TO THE FINANCIAL STATEMENTS

22. Cash Balances

The Council's Cash amounts consisted of cash on hand, demand deposits and cash equivalents.

	2020 Kwacha	2019 Kwacha
Cash on hand	-	5,122
Demand Deposits	5,720,240	274,997
Cash equivalents	-	-
TOTAL	<u>5,720,240</u>	<u>280,119</u>

a. Cash on hand

The Council's cash on hand was made of cash collections and petty cash:

	2020 Kwacha	2019 Kwacha
Cash collections undeposited	-	5,122
Petty Cash	-	-
TOTAL	<u>-</u>	<u>5,122</u>

b. Demand Deposits – Bank Balances

The Council had the following reconciled bank account balances as at the 31st December 2020:

Account	Bank	2020 Kwacha	2019 Kwacha
District Fund Account	Zanaco -011093200158	1,874,624	59,225
Capital Account	Invetrust-0110288211010	944,039	-4,287
Rural Water Account	Zanaco-1548892300155	0	2,515
Project Account	Zanaco-1325062300181	30,146	12,231
Service Charge Account	Natsave-3170124339501	17,625	8,028
Fire Services Account	Natsave -3171742525402	1,177,041	14,003
Loan Revolving Fund Account	Natsave -3171744225401	31,845	6,691
Community Contribution Account	Natsave - 3170124076101	335	183
SOMAP Shop Account	Natsave - 3170124076001	870	1,093
Ward Development Fund Account	Natsave - 3171257386901	36,100	0
CDF Account	Natsave-3170141448601	1,607,616	175,315
		<u>5,720,240</u>	<u>274,997</u>

c. Cash Equivalents

The Council did not hold treasury bills at the end of the year.

NOTES TO THE FINANCIAL STATEMENTS

23. Budget Adjustments and Variances

a. Budget Adjustments

The Ministry of Local Government approved the Budget adjustments downwards from K25, 321,572 to K22,693,622 of the budget during the year.

b. Budget Variances

There were budget variations in the period under review as explained below:

- **Fees and Charges**

The Council planned to generate K4,730,268 from Fees and Charges but collected K3,692,246 resulting in a variance of (22%). The under collection efficiency was attributed to non-payments of Conveyance fees and other Charges. Customers cited Covid 19 as the reason for failure to pay the Council 100%.

- **Other Grants**

The Council had planned to receive nothing in respect of Grant in lieu of rates, however during the year the Ministry of Local Government released K450,000 in Grant in lieu of Rates.

- **Other receipts:**

During the year under review, the Council planned to collect K10,000 but collected K149,082 giving a variance of K139,082 represented as 1390%. The over collection was as a result of K2,000,000 locally generated revenue which was placed into fixed deposit account while waiting to exhaust tender procedures for procurement of the grader and generated interest of K111,774 while K37,308 was generated from bank interest on Council accounts.

- **Local Government Equalisation Fund**

The Council Received K9,142,835 in Local Government Equalisation Fund from the Ministry during the year under review.

- **Constituency Development Funds**

The Council received K1,600,000 Constituency Development Funds from the Ministry during the year under review.

- **Use of Goods and services**

The Council planned to spend K7,037, 587 on procurement of goods and services but spent K5,364,543 resulting in a variance of 24%. This was as a result of under collection of Revenue.

- **Non-Financial Assets**

The Council planned to spend K6,672,919 on Non-Financial Assets but spent K3,144,716 resulting in a variance of 53%. This was as a result of under collection of revenue

- **Other Payments**

The Council planned to spend K1,207,000 on other payments but spent K905,212 resulting in a variance of 25%. This was as a result of under collection of revenue

NOTES TO THE FINANCIAL STATEMENTS

24 Provision of Services

The Town Council incurs expenditure to offering services it is mandated to provide to the residents of the District.

	2020 Kwacha	2019 Kwacha
Valuation of Properties	0	232,459
Fire Prevention	0	28,780
Grading of Feeder Roads	96,918	884,184
Refuse Collection	131,215	21,730
Rehabilitation of Boreholes	0	7,500
Market Facilities	332,949	24,672
Construction of Bridges and Culverts	103 989.00	148,360
Land demarcation and survey	569,583	91,865
Bush Clearing	58,791	40,375
Maintenance o Council Buildings	159,662	202,369
Pool Transport	638,347	1,145,162
	<u>1,987,465</u>	<u>2,827,456</u>

Note: The above amounts have been included in the various payments recognized in the Statement of Cash Receipts and Payments.

25 Property, Plant and Equipment

The Council had property, plant and Equipment valued at **K12,658,021**

	Land and Buildings K	Motor vehicles K	Plant & Machinery K	Equipment &Furniture K	TOTAL K
Opening balance	6,700,481	2,510,624	217,900	84,300	9,513,305
Additions	889,065	-	2,204,541	51,110	3,144,716
Revaluation	-	-	-	-	-
Re-classification	-	-	-	-	-
Disposal	-	-	-	-	-
Closing balance	7,589,546	2,510,624	2,422,441	135,410	12,658,021

26. Investments in Other Entities

The Local Authority did not hold shares in any Company

NOTES TO THE FINANCIAL STATEMENTS

27. Administered Transactions

The Local Authority does not administer tax collection on behalf of Zambia Revenue Authority.

28. Related Party Disclosures

The following disclosures are made in the financial statements of Lufwanyama Town Local Authority:

a. Fringe Benefits Disclosures

The Council Chairperson was provided with a personal-to-holder car, an office and personal Secretary.

b. Remuneration of the Councillors

The aggregate remuneration of members of the Local Authority and the number of individuals determined on a full-time equivalent basis receiving remuneration from Lufwanyama Town Local Authority are:

Aggregate Remuneration	K 684,000
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Number of persons	19
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None of the Councillors acquired loans from the Local Authority during the period under Review nor had any outstanding loans.

c. Remuneration of Senior Management

The aggregate remuneration of members of Senior Management and the number of individuals determined on a full-time equivalent basis receiving remunerations from the Local Authority are:

Aggregate Remuneration	K2,057,085
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Number of persons	12
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One of the Senior management acquired a loan from the Local Authority during the period under review.

29. External Assistance

During the period under review the Local Authority did not receive any external assistance.

30. Third Party Payments

Lufwanyama Town Council during the period under review did not engage in any party's Transactions.